

investment professionals,” or “to expand the range of services provided to shareholders.” Very few proxies, however, state that these are the reasons. Most suggest that, after long consideration, the fund’s directors have approved the fee increase requested by the management company, since the fund’s fee rates were below industry norms.

The right to vote proxies is significant, since management fee increases must be approved by mutual fund shareholders . . . Each shareholder must vote, and vote intelligently.

This reason seems more like a rationalization. (Must not half of the funds in the industry always have below-average fees and half always have above-average fees?) The real reason for most fee *rate* increases is to improve the profitability of the management company. Remember that the *dollar* amount of the fee has automatically increased—often enormously—with the increase in fund assets, although in many cases the fee rate is scaled down moderately as fund assets increase. While higher profits for fund managers are not necessarily wrong in the abstract, shareholders are entitled not only to a candid statement of that profit objective but a clear financial tabulation showing the revenues that the adviser receives from the fund both before and after the fee increase, the nature and extent of the fund’s expenses, and the margin of profit it realizes on operating the fund.

If an adviser expends \$0.50 out of each \$1.00 of fee revenue to operate the fund, the pretax profit margin is 50%. If this margin is to go to 75%—an astonishing increase, but hardly unprecedented—let it be so stated. While huge compared to most industries, a 50% profit margin has not been uncommon among the larger mutual fund complexes. In order to merit your favorable vote, the management company should provide these profit margin figures (not only for